DIPLOMA PROGRAMME PRACTICE / SL / SET B

Economics / Paper 1

Question booklet · 75 minutes · 25 marks

Choose one of the three questions and answer both parts. No calculator is permitted. Use real-world examples in part (b) and fully labelled diagrams where relevant. Write on separate answer paper.

QUESTION 1 / 25 MARKS

Rents and access to housing

a Explain how a binding maximum rent can change both the quantity of rental accommodation available and the way it is allocated. **[10]**

b Using real-world examples, discuss whether a maximum rent improves housing affordability for low-income households over time. **[15]**

QUESTION 2 / 25 MARKS

Measuring a recovery

a Explain the difference between a recovery that uses idle resources and an increase in an economy's productive capacity. **[10]**

b Using real-world examples, evaluate the use of rising real GDP per person as evidence that economic well-being has improved. **[15]**

QUESTION 3 / 25 MARKS

Exchange rates and imported inflation

a Explain how a fall in foreign demand for an economy's exports can cause its floating currency to depreciate and increase prices for domestic consumers. **[10]**

b Using real-world examples, evaluate whether depreciation improves living standards in an economy that imports a large share of its food and energy. **[15]**